"additional fiscal resources" to the government as problematic, because what a private bidder will pay indirectly for RINL will flow from the same pool of savings in the economy from which the government can borrow directly. Taking the disinvestment route to get the resources is far more disadvantageous, as the government will achieve nothing more than losing ownership of a highly valuable asset, when it can borrow the same resources directly from the market on more advantageous terms on the basis of its own sovereign rating.

Prima facie, Sarma deems privatisation as illegal as it violates the welfare mandate under the Constitution. CPSEs like RINL are entities set up under Article 19(6)(ii) of the Constitution—read with Article 12, they are "arms" of the State that fulfil the "welfare" objectives laid out in the Directive Principles. In addition, under Article 16, they provide reservation for Scheduled Castes and Tribes, as well as Other Backward Classes, providing them not just employment opportunities but also empowerment, as the apex court has emphasised in its orders time and again. Privatisation, Sarma says, is a backdoor ploy successive governments have adopted to renege on their constitutional obligation. Given that the disinvestment model has no safeguard for the employees, RINL's privatisation will plunge the lives of 35,724 existing employees (including 17,566 SCs/ STs/ OBCs) into uncertainty.

Land, a monetisable asset, is another area of contention. More than 50 years ago, over 20,000 acres of fertile tract was acquired for RINL under Section 3(f)(iv) of the erstwhile Land Acquisition Act, 1894, for "public purpose", defined then as "provision of land for a corporation owned or controlled by the State". Given that the acquisition was based on the premise that there will be no change in the ownership of the CPSE, privatisation, says Sarma, is a violation. The acquired land should then revert to the state government, which originally invoked its authority under the Land Acquisition Act. Either alienating the land through privatisation to a private company or "monetising" it in any other form will be a breach of trust as far as the original land owners are concerned, says Sarma. Both the state and the farmers need to be fully compensated for it.

The central government's decision to privatise RINL is also being seen as unilateral and blatantly violative of federal norms. It was united Andhra Pradesh that acquired the land for RINL, nurturing auxiliary industries around it and maintaining a harmonious labour environment. The state, therefore, sees itself as a stakeholder. As such, the issue of its privatisation should have been discussed both in Parliament and the assembly. The people of Andhra and RINL's employees too should have had a say.

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>
> **E.A.S. SARMA**
>
> *Ex-Union finance secy*

A HISTORY OF TURNAROUNDS

When the issue of RINL's privatisation first came up in 2000, in the wake of consistent losses, the then Atal Bihari Vajpayee decided to turn it around and suggested that loans be converted into equity. RINL also developed new products, new niche markets, negotiated an interest rate reduction, had penal interests waived, prepaid scheduled principal amounts, availed lower interest products against working capital and got a GoI guarantee for working capital loans. The results started showing soon enough, with RINL becoming debt-free by repaying all long-term debt in 2003-04. It has had only three loss-making years since that fiscal intervention.

Having been there before, RINL believes it can do it again—turn the company around by writing off the debt and remain a state-owned entity. The book value of the 19,703 acres currently under RINL's possession but held in the name of the President of India is a mere Rs 55.82 crore against the estimated market value of Rs 1 lakh crore. RINL's ex-CMD Y. Siva Sagar Rao and former CBI joint director V.V. Lakshminarayana suggest that at least 16,872 acres be transferred to RINL so that the company's balance-sheet becomes robust and improves its credit rating enabling RINL to raise more loans from the market at competitive interest rates. The remaining 2,830 acres can be explored for further industrial development, which may fetch RINL around Rs 9,000 crore. Meanwhile, RINL itself will attempt financial restructuring to improve its bottom line. There are also suggestions that RINL be merged with NMDC and Steel Authority of India Limited to build a state-owned conglomerate like in the petroleum sector.

RINL can also learn from the recent turnaround of Fertilisers and Chemicals Travancore (FACT) Limited, India's first large-scale fertiliser plant, in Alwaye, Kerala. The PSU monetised land holdings and utilised funds to clear debts and address the shortage of working capital before providing capital for capacity expansion. Having done this over the past three years, FACT is now preparing to enhance fertiliser production, upgrade logistics and improve market share.

Andhra's fervent hope is that RINL's efforts will compel the GoI to review its rationale. A reversal of the decision will be a win-win for Jagan Reddy, who is hoping to develop Visakhapatnam as the state's executive capital, part of his decentralised tri-capital plan. ■